

# ADVANTAGE Daily Drilling Fluids Report - 2



INTEQ

|                                         |  |                                   |  |                                          |  |                                        |  |
|-----------------------------------------|--|-----------------------------------|--|------------------------------------------|--|----------------------------------------|--|
| Rpt Date 02/Oct/2006                    |  | Well Name/No Bilabri D3           |  | Section Name/No 36" Riserless Section #1 |  | Mud System Gel/Polymer                 |  |
| Job# 1                                  |  | Spud Date                         |  | MD m                                     |  | Progress 0.00 m                        |  |
| Operator Peak Petroleum Indust. Limited |  | Company Rep Chris Newton /Tom May |  | Contractor Dolphin Drilling Ltd          |  | Contractor Rep Ally Tough / Troy Nolan |  |
| Field/Lease Bilabri                     |  | Blk/Co/Parish OML - 122 / Nigeria |  | Area Offshore                            |  | Country/State Nigeria                  |  |
|                                         |  |                                   |  |                                          |  | Rig BULFORD DOLPHIN                    |  |

| Drilling Assembly |       |           | Casing |       |          | Volumes     | Pump Information          |          |           |       |              |              |                     |
|-------------------|-------|-----------|--------|-------|----------|-------------|---------------------------|----------|-----------|-------|--------------|--------------|---------------------|
| Bit Gauge in      | Mfr   | Bit Model | OD in  | ID in | Depth m  | bbl         | Model                     | Liner in | Stroke in | Eff % | Vol/Stk bbl  | Stk Rate SPM | Circ Rate USgal/min |
| 0                 |       |           |        |       |          | Total Hole  | Continental Ensco FA-1600 |          | 12.00     | 97.0  |              | 0            |                     |
| Drill Collars     |       |           |        |       |          | 0           | Continental Ensco FA-1600 |          | 12.00     | 97.0  |              | 0            |                     |
| Drill Pipe        |       |           |        |       |          | Active Pits | Continental Ensco FA-1600 |          | 12.00     | 97.0  |              | 0            |                     |
| OD in             | ID in | Length m  | OD in  | ID in | Length m | 0           |                           |          |           |       |              |              |                     |
|                   |       |           |        |       |          | Tot Active  |                           |          |           |       |              |              |                     |
|                   |       |           |        |       |          | 0           | Circulation Times         |          |           |       |              |              |                     |
|                   |       |           |        |       |          | In Storage  | Surface to Bit            | min/stks |           |       | Total System | min/stks     |                     |
|                   |       |           |        |       |          | 1019        | Bottoms Up                | min/stks |           |       |              |              |                     |

| Mud Properties                                                                                                                                                                                                                                                                                           |            |       |   | Max Ann Velocity |                  | Hole Information |                       |                |                    |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|-------|---|------------------|------------------|------------------|-----------------------|----------------|--------------------|
| Property                                                                                                                                                                                                                                                                                                 | Fluid Spec | 1     | 2 | 3                | AV Riser         | ft/min           | Standpipe Pressure    | psi            | Water Depth        |
| Check Time                                                                                                                                                                                                                                                                                               |            | 00:00 |   |                  | AV Casing        | ft/min           | Hole Flow             | USgal/min      | Riser Booster Rate |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | AV Open Hole     | ft/min           | Solids Analysis       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Vc Open Hole     | ft/min           | Property              | 1              | 2                  |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Vc Drill Pipe    | ft/min           |                       | 3              | 4                  |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Min Ann Velocity |                  |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | AV Riser         | ft/min           |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | AV Casing        | ft/min           |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | AV Open Hole     | ft/min           |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Bit Information  |                  |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Size             |                  |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Hours On Bit     |                  |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Bit Number       |                  |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | BHA Number       |                  | Rheology              |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Depth In         |                  | 600 RPM               |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Bit RPM          |                  | 300 RPM               |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | WOB              |                  | 200 RPM               |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Nozzles          |                  | 100 RPM               |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Bit Hydraulics   |                  | 6 RPM                 |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | TFA              |                  | 3 RPM                 |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Nozzle Vel       | ft/sec           |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | Bit Press Loss   | psi              |                       |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | HHP / Area       | HP/in^2          | Hydraulic Analysis    |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  | HHP              | %                | Behavior Index (n)    |                |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  |                  |                  | Consistency Index (k) | #sec^n/100ft^2 |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  |                  |                  | ECD @ Bit Depth       | ppg            |                    |
|                                                                                                                                                                                                                                                                                                          |            |       |   |                  |                  |                  | ECD @ Casing Shoe     | ppg            |                    |
| Fluid Comments/ Recommendations                                                                                                                                                                                                                                                                          |            |       |   |                  |                  |                  |                       |                |                    |
| Received WBM chemicals and added to inventory, also including 29 sxs of sawdust transferred from previous well. Adjusted KCL brine volume already on board to match control room's figure of 1200 bbls. Prepared 342 bbls of 10.5 ppg Kill Mud, and 677 bbls of 8.7 ppg hi-vis mud - mud mixing ongoing. |            |       |   |                  |                  |                  |                       |                |                    |
| Drilling Comments                                                                                                                                                                                                                                                                                        |            |       |   |                  |                  |                  |                       |                |                    |
| Completed ballasting down the rig. Picked up drillpipe and racked in derrick and presently making up jetting assembly.                                                                                                                                                                                   |            |       |   |                  |                  |                  |                       |                |                    |

|                             |                  |           |                 |               |              |                 |                 |        |
|-----------------------------|------------------|-----------|-----------------|---------------|--------------|-----------------|-----------------|--------|
| BHDF Fluids Rep             | BHDF Rep Phone   | Warehouse | Warehouse Phone | Coordinator   | Daily Cost   | Cumulative Cost | Inventory Value | Page 1 |
| Jerry Laydoo / Ayo Okomayin | 234-803-402-0440 | Onne      | 234-84-462609   | Lawson Ogaree | 32140.60 USD | 33321.85 USD    | 440863.37 USD   |        |

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

# ADVANTAGE Daily Drilling Fluids Report - 2



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|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------|-----------------------------------|----------------|------------------------------------------|---------------------|---------------------------------|---------------------|----------------------------------------|----------------|----------------|-------------------------------------|--------------------------------------|-----------------|--------|
| Rpt Date 02/Oct/2006                                                                                                                                                                                                                                                                                                                   |                  | Well Name/No Bilabri D3           |                | Section Name/No 36" Riserless Section #1 |                     |                                 |                     | Mud System Gel/Polymer                 |                |                |                                     |                                      |                 |        |
| Job# 1                                                                                                                                                                                                                                                                                                                                 |                  | Spud Date                         |                | MD m                                     |                     | Progress 0.00 m                 |                     | Present Activity Work Tubulars         |                |                |                                     |                                      |                 |        |
| Operator Peak Petroleum Indust. Limited                                                                                                                                                                                                                                                                                                |                  |                                   |                | Company Rep Chris Newton /Tom May        |                     | Contractor Dolphin Drilling Ltd |                     | Contractor Rep Ally Tough / Troy Nolan |                |                |                                     |                                      |                 |        |
| Field/Lease Bilabri                                                                                                                                                                                                                                                                                                                    |                  | Blk/Co/Parish OML - 122 / Nigeria |                | Area Offshore                            |                     | Country/State Nigeria           |                     | Rig BULFORD DOLPHIN                    |                |                |                                     |                                      |                 |        |
| Solids Control Equipment                                                                                                                                                                                                                                                                                                               |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |
| Name                                                                                                                                                                                                                                                                                                                                   | #                | Mfr                               | Hours hours    | Screen Sizes                             | Act Volume Lost bbl | Res Volume Lost bbl             | Comments            |                                        |                |                |                                     |                                      |                 |        |
| CENTRIFUGE                                                                                                                                                                                                                                                                                                                             | 1                | SWACO                             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| CENTRIFUGE                                                                                                                                                                                                                                                                                                                             | 2                | SWACO                             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| DESANDER                                                                                                                                                                                                                                                                                                                               | 1                | SWACO                             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| DESILTER                                                                                                                                                                                                                                                                                                                               | 1                | SWACO                             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| MUD CLEANER                                                                                                                                                                                                                                                                                                                            | 1                | SWACO                             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| SHALE SHAKER                                                                                                                                                                                                                                                                                                                           | 1                | Brandt                            | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| SHALE SHAKER                                                                                                                                                                                                                                                                                                                           | 1                | Derrick Equipments Co             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| SHALE SHAKER                                                                                                                                                                                                                                                                                                                           | 2                | Brandt                            | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| SHALE SHAKER                                                                                                                                                                                                                                                                                                                           | 2                | Derrick Equipments Co             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| SHALE SHAKER                                                                                                                                                                                                                                                                                                                           | 3                | Derrick Equipments Co             | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| SHALE SHAKER                                                                                                                                                                                                                                                                                                                           | 3                | Brandt                            | 0.0            |                                          | 0.0                 | 0.0                             |                     |                                        |                |                |                                     |                                      |                 |        |
| Total Volume Lost                                                                                                                                                                                                                                                                                                                      |                  |                                   |                |                                          | 0                   | 0                               |                     |                                        |                |                |                                     |                                      |                 |        |
| Volumes                                                                                                                                                                                                                                                                                                                                |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |
| Additions bbl                                                                                                                                                                                                                                                                                                                          |                  |                                   |                | Losses bbl                               |                     |                                 |                     | Total Volumes bbl                      |                |                |                                     |                                      |                 |        |
| Mud Added                                                                                                                                                                                                                                                                                                                              | Weight Materials | 22.5                              | Downhole       | Left In Pit                              | Starting Volume     |                                 | Riser w/o Pipe      |                                        |                |                |                                     |                                      |                 |        |
| Brine                                                                                                                                                                                                                                                                                                                                  | 164 Water        | 819                               | Cased Off      | Trip Losses                              | Daily Additions     | 1019.2                          | Casing w/o Pipe     |                                        |                |                |                                     |                                      |                 |        |
| Base Fluid                                                                                                                                                                                                                                                                                                                             | Product          | 13.7                              | Left In Hole   | Injected                                 | Daily Losses        |                                 | Open Hole w/o Pipe  |                                        |                |                |                                     |                                      |                 |        |
| Recycled                                                                                                                                                                                                                                                                                                                               | Other            |                                   | Discharged     | Spill To Environment                     | Ending Volume       | 1019.2                          | String Displacement |                                        |                |                |                                     |                                      |                 |        |
|                                                                                                                                                                                                                                                                                                                                        |                  |                                   | SCE            | Onshore Disposal                         | Net Change          | 1019.2                          | String Capacity     |                                        |                |                |                                     |                                      |                 |        |
|                                                                                                                                                                                                                                                                                                                                        |                  |                                   | Evaporation    | Returned                                 |                     |                                 | Total Hole w/ Pipe  |                                        |                |                |                                     |                                      |                 |        |
|                                                                                                                                                                                                                                                                                                                                        |                  |                                   | Other Losses   |                                          |                     |                                 | Total Active        |                                        |                |                |                                     |                                      |                 |        |
|                                                                                                                                                                                                                                                                                                                                        |                  |                                   |                |                                          |                     |                                 | Total Reserve       | 1019.0                                 |                |                |                                     |                                      |                 |        |
| IADC Hours                                                                                                                                                                                                                                                                                                                             |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |
| Mobilise/Demobilise                                                                                                                                                                                                                                                                                                                    |                  |                                   |                | 6                                        | Work Tubulars       |                                 |                     | 18                                     |                |                |                                     |                                      |                 |        |
| Primary Currency USD                                                                                                                                                                                                                                                                                                                   |                  |                                   |                | Secondary Currency                       |                     |                                 |                     | Totals USD                             |                |                |                                     |                                      |                 |        |
| Daily Product Cost                                                                                                                                                                                                                                                                                                                     |                  | 30790.60                          |                | Daily Product Cost                       |                     | 0.00                            |                     | Primary Product                        |                | 30790.60       |                                     |                                      |                 |        |
| Daily Tax                                                                                                                                                                                                                                                                                                                              |                  | 0.00                              |                | Daily Tax                                |                     | 0.00                            |                     | Secondary Product                      |                | 0.00           |                                     |                                      |                 |        |
| Debit/Credit                                                                                                                                                                                                                                                                                                                           |                  | 0.00                              |                | Debit/Credit                             |                     | 0.00                            |                     | Primary Engineering                    |                | 2531.25        |                                     |                                      |                 |        |
| Daily Engineering Cost                                                                                                                                                                                                                                                                                                                 |                  | 1350.00                           |                | Daily Engineering Cost                   |                     |                                 |                     | Secondary Engineering                  |                | 0.00           |                                     |                                      |                 |        |
| Total Daily Cost                                                                                                                                                                                                                                                                                                                       |                  | 32140.60                          |                | Total Daily Cost                         |                     | 0.00                            |                     | Primary Total                          |                | 33321.85       |                                     |                                      |                 |        |
| Total Inventory Value                                                                                                                                                                                                                                                                                                                  |                  | 440863.37                         |                | Total Inventory Value                    |                     | 0.00                            |                     | Secondary Total                        |                | 0.00           |                                     |                                      |                 |        |
|                                                                                                                                                                                                                                                                                                                                        |                  |                                   |                |                                          |                     |                                 |                     | Deck Load                              |                | 790555 lb      |                                     |                                      |                 |        |
| Products and Services                                                                                                                                                                                                                                                                                                                  |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |
| Product                                                                                                                                                                                                                                                                                                                                | Units            | Start                             | Transferred In | Received                                 | Returned            | Lost                            | Daily Use           | Final                                  | Unit Price USD | Daily Cost USD | Active Ending Concentrations lb/bbl | Reserve Ending Concentrations lb/bbl |                 |        |
| Oil Based Product                                                                                                                                                                                                                                                                                                                      |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |
| PARA-TEQ                                                                                                                                                                                                                                                                                                                               | 1 bbl            | 863                               |                |                                          |                     |                                 |                     | 863                                    | 280.00         |                |                                     |                                      |                 |        |
| Water Based Product                                                                                                                                                                                                                                                                                                                    |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |
| CAUSTIC SODA                                                                                                                                                                                                                                                                                                                           | 25 kg            | 13                                |                |                                          |                     |                                 | 2                   | 11                                     | 37.89          | 75.78          |                                     | 0.11                                 |                 |        |
| MIL-BAR                                                                                                                                                                                                                                                                                                                                | 1000 kg          | 62                                |                |                                          |                     |                                 | 15                  | 47                                     | 540.00         | 8100.00        |                                     | 32.45                                |                 |        |
| MIL-GUAR                                                                                                                                                                                                                                                                                                                               | 25 kg            |                                   |                | 320                                      |                     |                                 | 40                  | 280                                    | 135.00         | 5400.00        |                                     | 2.16                                 |                 |        |
| MIL-PAC R                                                                                                                                                                                                                                                                                                                              | 55 kg            | 25                                |                | 160                                      |                     |                                 | 31                  | 154                                    | 155.00         | 4805.00        |                                     | 3.69                                 |                 |        |
| POTASSIUM CHLORIDE BRINE                                                                                                                                                                                                                                                                                                               | 1 bbl            | 189                               | 1011           |                                          |                     |                                 | 164                 | 1036                                   | 46.85          | 7683.40        |                                     | 63.61                                |                 |        |
| SAW DUST                                                                                                                                                                                                                                                                                                                               | 25 kg            |                                   | 29             |                                          |                     |                                 |                     | 29                                     | 12.50          |                |                                     |                                      |                 |        |
| SODA ASH                                                                                                                                                                                                                                                                                                                               | 25 kg            |                                   |                | 40                                       |                     |                                 | 2                   | 38                                     | 73.40          | 146.80         |                                     | 0.11                                 |                 |        |
| Xanthan Gum                                                                                                                                                                                                                                                                                                                            | 25 kg            | 20                                |                | 160                                      |                     |                                 | 6                   | 174                                    | 345.22         | 2071.32        |                                     | 0.32                                 |                 |        |
| XCIDE 102                                                                                                                                                                                                                                                                                                                              | 55 USgal         | 1                                 |                |                                          |                     |                                 | 1                   |                                        | 2508.30        | 2508.30        |                                     | 0.44                                 |                 |        |
| BHDF Fluids Rep                                                                                                                                                                                                                                                                                                                        |                  | BHDF Rep Phone                    |                | Warehouse                                |                     | Warehouse Phone                 |                     | Coordinator                            |                | Daily Cost     |                                     | Cumulative Cost                      | Inventory Value | Page 2 |
| Jerry Laydoo / Ayo Okomayin                                                                                                                                                                                                                                                                                                            |                  | 234-803-402-0440                  |                | Onne                                     |                     | 234-84-462609                   |                     | Lawson Ogaree                          |                | 32140.60 USD   |                                     | 33321.85 USD                         | 440863.37 USD   |        |
| Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same. |                  |                                   |                |                                          |                     |                                 |                     |                                        |                |                |                                     |                                      |                 |        |